

Week 3

Consumer Behavior

Topic Outline

- Explain why marketers require a thorough understanding of consumer behaviour and its major influences
- Understand the major group factors that influence consumer behaviour
- Analyse the major individual factors that influence consumer behaviour
- Explain the general steps in the consumer decision-making process.

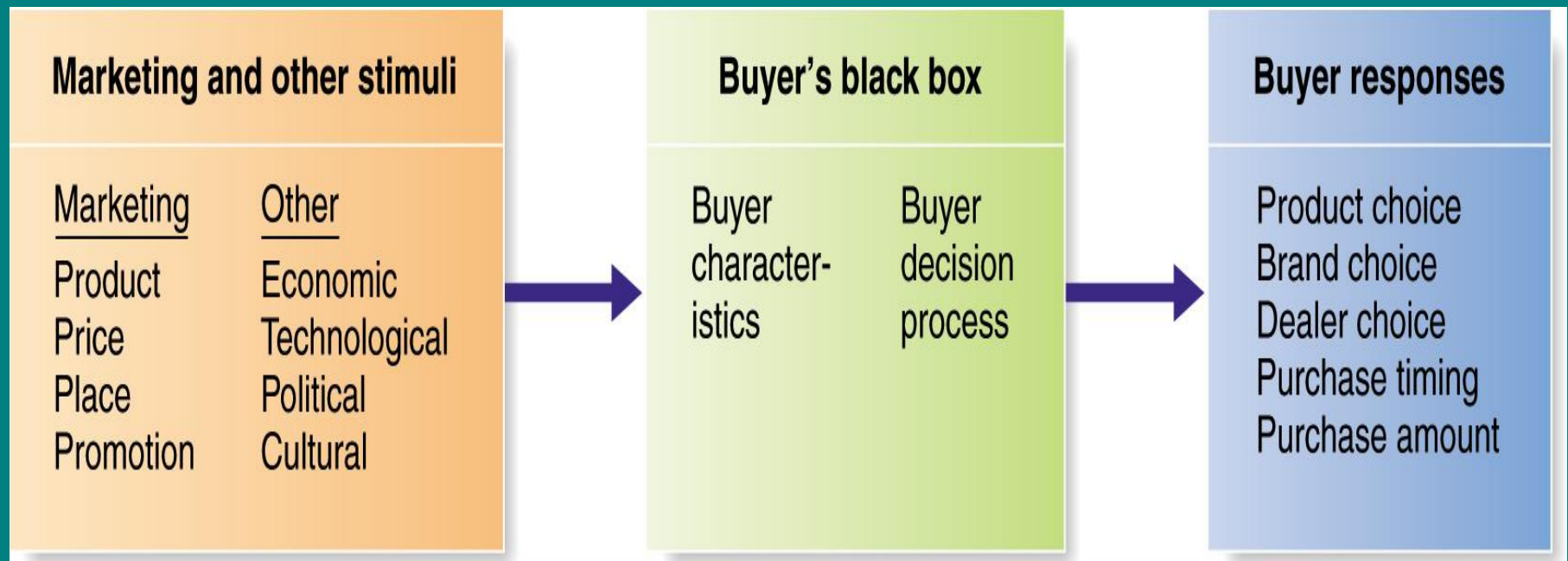
Model of Consumer Behavior

Consumer (buyer) behavior : the buying behavior of **final consumers, individuals and households**, who buy goods and services for personal consumption

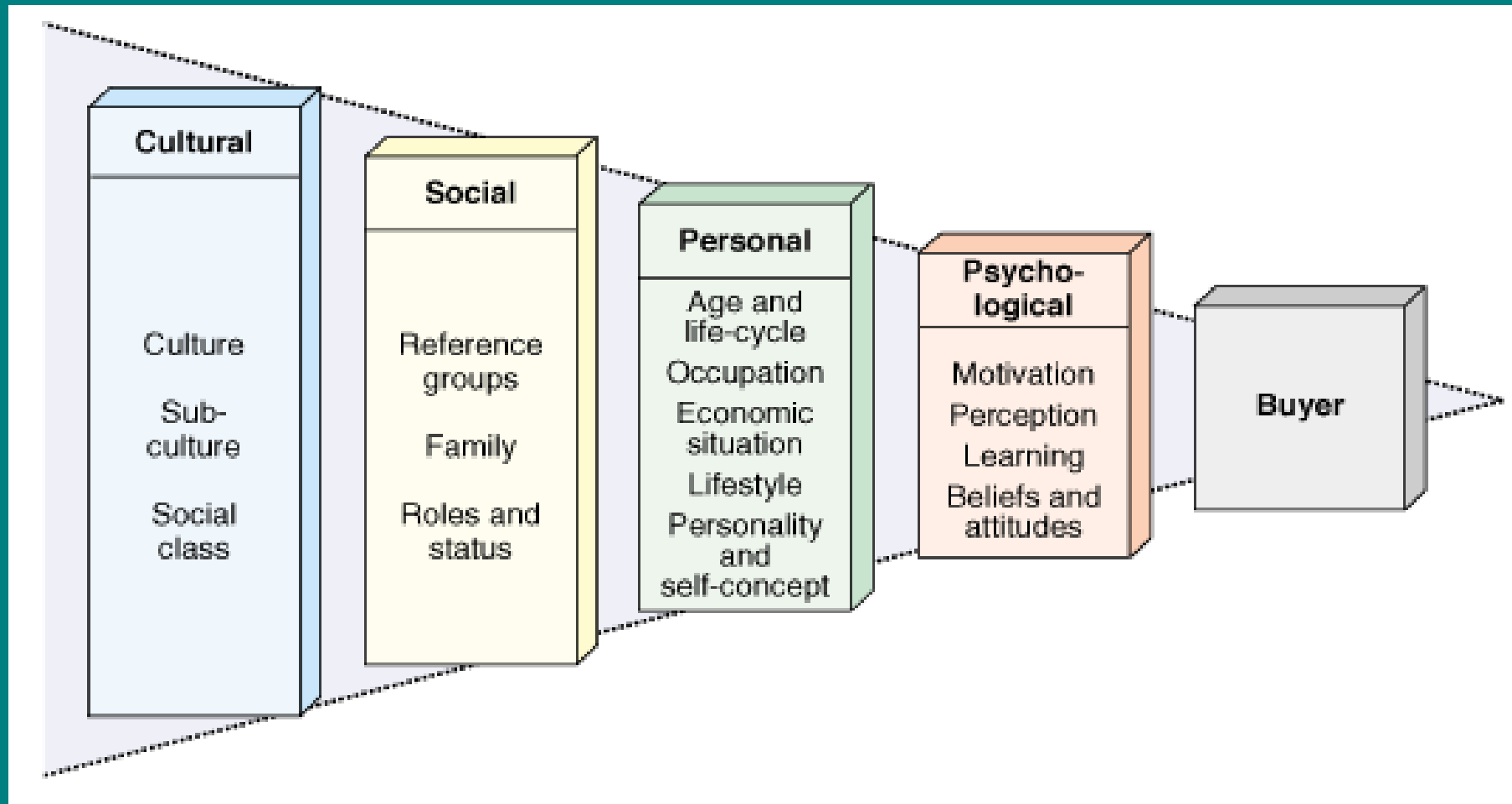
Consumer market : all of the personal consumption of final consumers

Model of Buyer Behavior

Figure 5.1



Factors Influencing Consumer Behavior



Characteristics Affecting Consumer Behavior

Culture is the learned values, perceptions, wants, and behavior from family and other important institutions and is the most basic cause of a person's wants and behavior

Characteristics Affecting Consumer Behavior:

Culture

- Global fast-food chain KFC acts locally to cater to different cultural requirements.



Globalization & Localization



Characteristics Affecting Consumer Behavior

Subcultures are groups of people within a culture with shared value systems based on common life experiences and situations

- Hispanic American
- African American
- Asian American
- Cross-Cultural
- **ACG subculture**

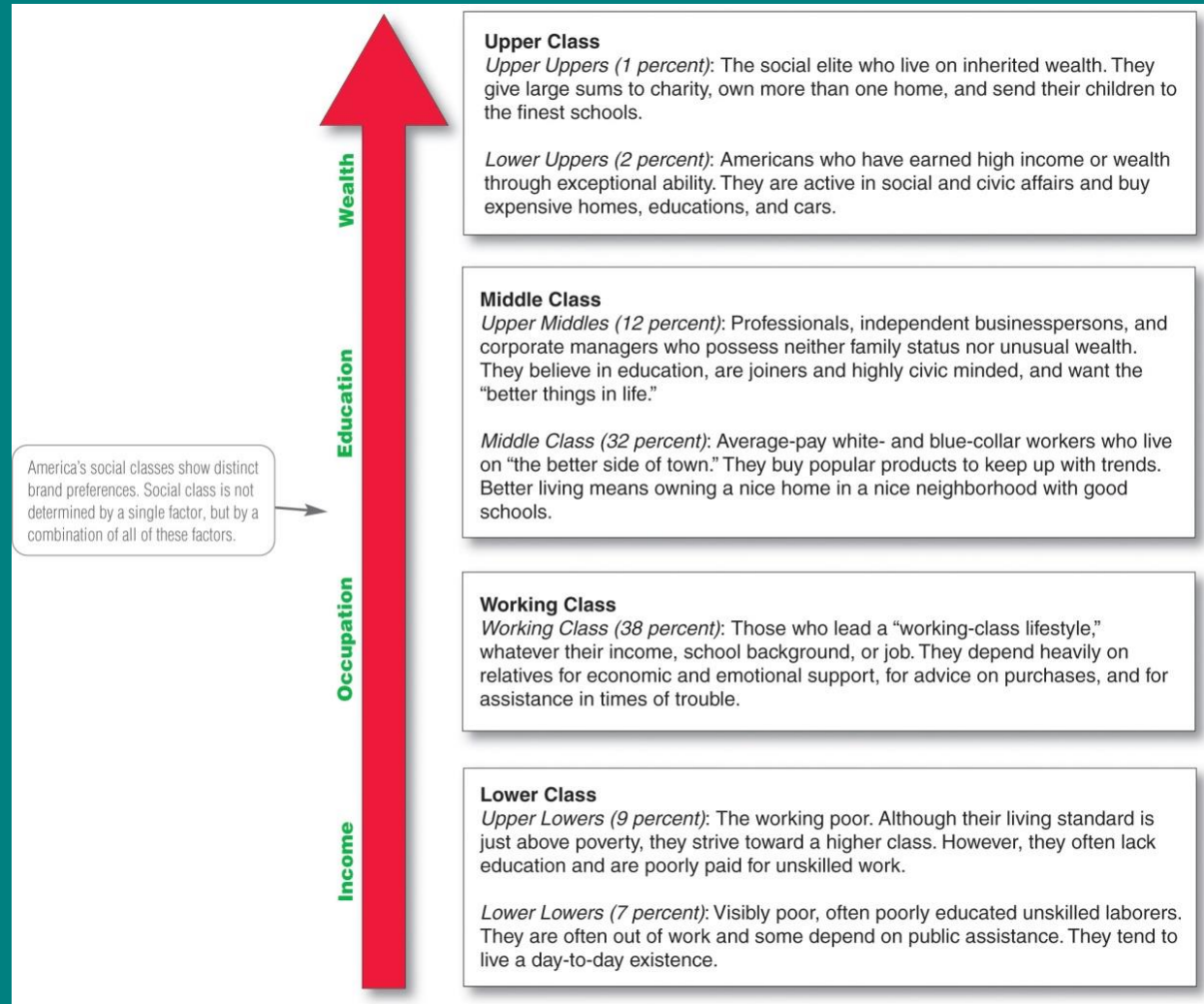


Characteristics Affecting Consumer Behavior

Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors

- Measured by a combination of occupation, income, education, wealth, and other variables

Major American Social Classes



Characteristics Affecting Consumer Behavior

Groups and Social Networks

Membership Groups

- Groups with direct influence and to which a person belongs

Aspirational Groups

- Groups an individual wishes to belong to

Reference Groups

- Groups that form a comparison or reference in forming attitudes or behavior

Characteristics Affecting Consumer Behavior

Groups and Social Networks

- Word-of-mouth influence and buzz marketing
 - **Opinion leaders** are people within a reference group who exert social influence on others
 - Also called *influentials* or *leading adopters*
 - Marketers identify them to use as brand ambassadors



KOL

- Key opinion leader
- A person or organization who has expert product knowledge and influence in a respective field.



离双11还有一个月，@天猫国际 要给大家提前放价送福利的心已经按捺不住了！瞅瞅此喵最近的#母婴囤货攻略#，里面好多东西都是阿金小时候用过或现在还在用的，的确都是超有排面的大牌子，品质一级赞糯！现在下单还能抢199-100元神仙满减券，399-40... 展开



2056 1900 365



琰琰婚礼日记

备婚狂的婚礼指南，匠心小众的干货清单，一个看多了会结婚的公众号！

63篇原创文章 3位朋友关注

进入公众号

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小红书

- A large number of KOLs and users
- KOLs post product evaluation or recommendation.
- Users unconsciously like, collect, comment and follow

知识、经验分享



哈普小姐姐

+ 关注

超全的防晒科普+好用产品推荐

为什么要防晒?

因为紫外线的UVB和UVA对皮肤的伤害极大! 简单来说:

防晒产品的使用原理

防晒成分原理主要是物理防晒和化学防晒两种:

▼ 物理防晒 ▼

防晒原理: 利用二氧化钛(TiO_2)和氧化锌(ZnO)在皮肤表面形成一层保护膜, 将紫外线反射出去, 从而达到防晒效果, 属于广谱防晒。

特点: 较为温和, 对皮肤刺激很小, 但因添加了氧化锌所以大多偏油, 比较厚重, 会泛白, 价格略贵。

常用成分: 二氧化钛、氧化锌。

产品介绍和推荐

下面来到大家最爱的安利环节!

资生堂安耐晒金瓶



防晒原理: 物化结合 主要成分: 氧化锌、OMC、奥克立林、Parsol SLX、二氧化钛、Tinosorb S

回应评论, 与粉丝互动

707条评论



fiona2009

只用过小金瓶、sofina、allie、碧柔, 最喜欢sofina; 小金瓶防晒效果好, 可是上脸会拔干; allie大夏天上脸还是会觉得很油; 碧柔使用感很好, 就像乳液, 可是好像防晒效果差, 还是会变黑.....

2 · 回复

03-07



哈普小姐姐

嘻嘻!

1 · 回复

03-07



Simmy_560DE70E

Sofina 那个系列的好用

1 · 回复

03-30



荷蛋大眼 5757C01E

我想去海边用安耐晒小金瓶防晒, 用碧柔身上可以吗😂

赞 · 回复

03-06

Characteristics Affecting Consumer Behavior

Groups and Social Networks



- Online Social Networks are online communities where people socialize or exchange information and opinions
- Include blogs, social networking sites (facebook), virtual worlds (second life)

Characteristics Affecting Consumer Behavior

Social Factors

- Family is the most important consumer-buying organization in society
- Social roles and status are the groups, family, clubs, and organizations that a person belongs to that can define role and social status

Characteristics Affecting Consumer Behavior

Personal Factors

- Personal characteristics include the following:
 1. Age and life-cycle stage
 2. Occupation
 3. Economic situation
 4. Lifestyle
 5. Personality and self-concept

Characteristics Affecting Consumer Behavior

Personal Factors: Age & life-cycle

Age and life-cycle stage

- RBC Royal Bank has identified five life-stage segments:
 - **Youth—younger than 18**
 - **Getting started—18-35:** going through first experiences such as graduation, first credit card, first car, home loan
 - **Builders—35-50:** in their peak earning years, tend to borrow more than they invest
 - **Accumulators—50-60:** worry about saving for retirement and invest wisely
 - **Preservers—over 60:** want to maximise their retirement income to maintain a desired lifestyle.

Characteristics Affecting Consumer Behavior

Personal Factors

Occupation affects the goods and services bought by consumers

Economic situation includes trends in:

Personal
income

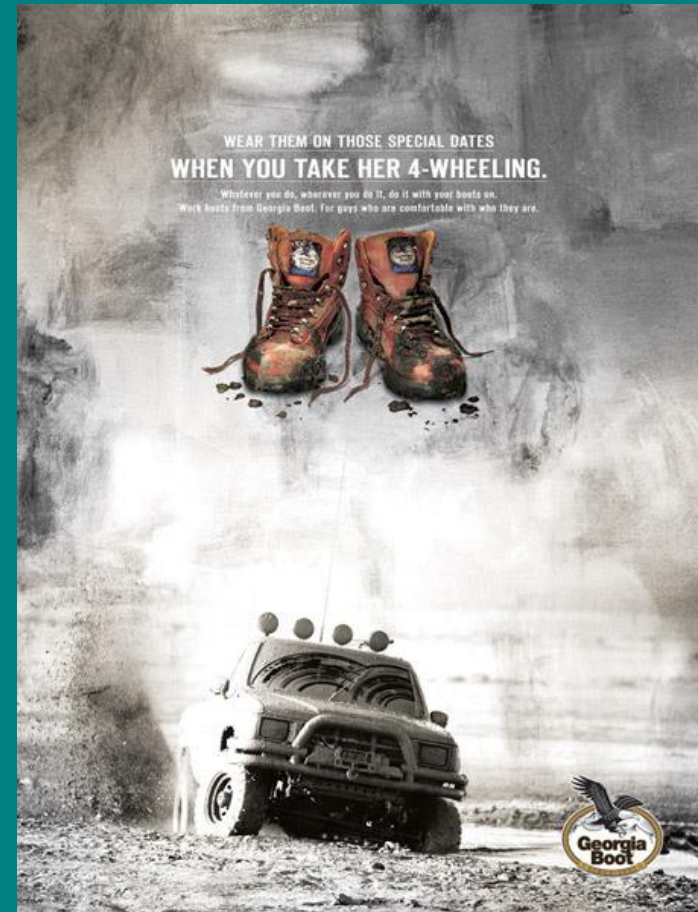
Savings

Interest
rates

Characteristics Affecting Consumer Behavior

Personal Factors

- Lifestyle** is a person's pattern of living as expressed in his or her psychographics
- Measures a consumer's AIOs (activities, interests, opinions) to capture information about a person's pattern of acting and interacting in the environment



Characteristics Affecting Consumer Behavior

Personal Factors: Lifestyle

- Class exercise: Watch the following video on the new Windows phone and identify what type of lifestyle this product is appealing to?



Characteristics Affecting Consumer Behavior

Personal Factors: Personality & Self-Concept

- **Personality** refers to the unique psychological characteristics that lead to consistent and lasting responses to the consumer's environment
- Brand personality refers to the specific mix of human traits that may be attributed to a particular brand
 - Sincerity (down-to-earth, honest, wholesome, cheerful)
 - Excitement (daring, spirited, imaginative, up-to-date)
 - Competence (reliable, intelligent, and successful)
 - Sophistication (upper class and charming)
 - Ruggedness (outdoorsy and tough)

- Products play a key role in defining the self-concept.



Characteristics Affecting Consumer Behavior

**Personal
Factors**

Dominance

Autonomy

Defensiveness

Adaptability

Aggressiveness

Characteristics Affecting Consumer Behavior

Psychological Factors

Motivation

Perception

Learning

Beliefs and attitudes



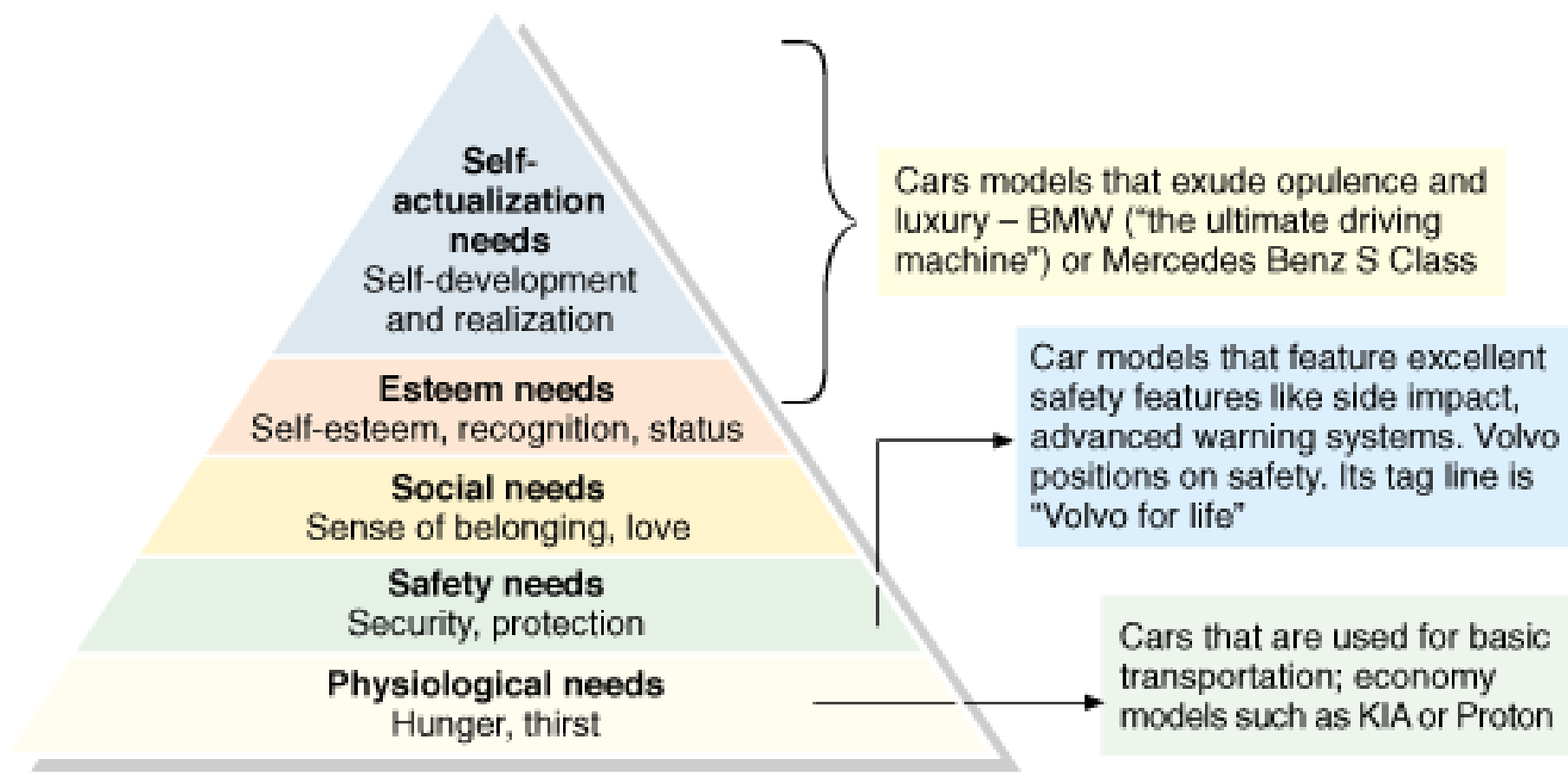
Characteristics Affecting Consumer Behavior

Psychological Factors Motivation

A **motive** is a need that is sufficiently pressing to direct the person to seek satisfaction

Motivation research refers to qualitative research designed to probe consumers' hidden, subconscious motivations

Application of Maslow's Hierarchy of Needs to the Marketing of Cars



Characteristics Affecting Consumer Behavior

Psychological Factors

Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world from three perceptual processes

- Selective attention
- Selective distortion
- Selective retention



Characteristics Affecting Consumer Behavior:

Psychological factors: Perception

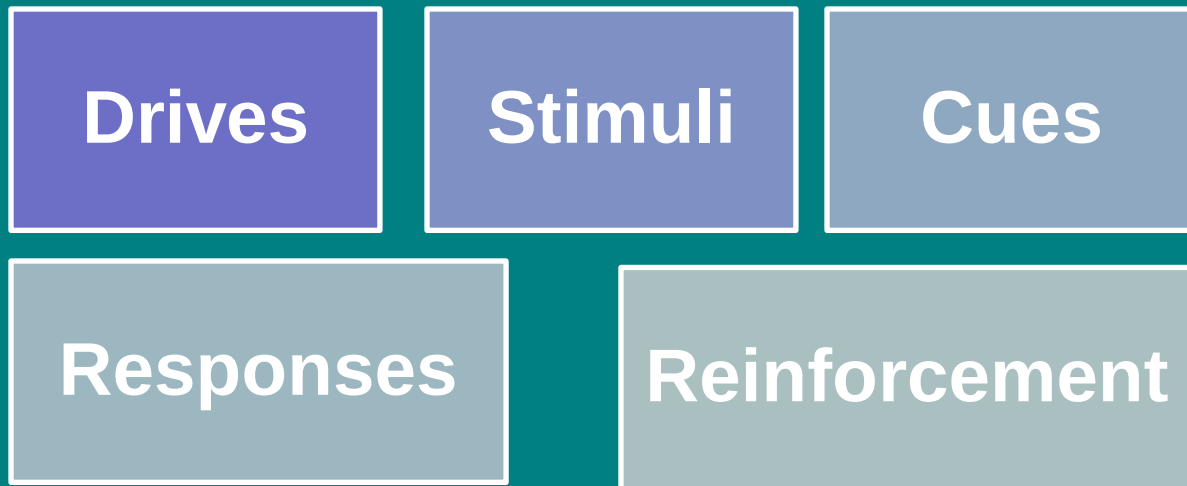
Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world from three perceptual processes

- **Selective attention** is the tendency for people to screen out most of the information to which they are exposed
 - E.g. noticing ads for cars when you are in the market to buy one
- **Selective distortion** is the tendency for people to interpret information in a way that will support what they already believe
- **Selective retention** is the tendency to remember good points made about a brand they favor and to forget good points about competing brands
 - E.g. I remember good points about Apple iPhone, but forget good points about Nokia

Characteristics Affecting Consumer Behavior

Psychological Factors

- **Learning** is the change in an individual's behavior arising from experience and occurs through interplay of:



Characteristics Affecting Consumer Behavior:

Psychological factors: Beliefs & Attitudes

- A **belief** is a descriptive thought that a person holds about something based on knowledge, opinion and faith.
 - E.g. I believe that Sony digital camera takes great pictures and costs \$400
- **Attitude** describes a person's consistently favorable or unfavorable evaluations, feelings, and tendencies toward an object or idea. (such as a product, advertisement, salesperson, company)
 - Are action-oriented
 - Very difficult to change a person's attitude

E.g. Fuze fits well with peoples' attitude about health and well-being

The Buyer Decision Process

Five stages in the buyer decision process

1. Need recognition
2. Information search
3. Evaluation of alternatives
4. Purchase decision
5. Post-purchase behavior



The Buyer Decision Process

Need Recognition

- Occurs when the buyer recognizes a problem or need triggered by:
 - Internal stimuli
 - External stimuli

The Buyer Decision Process

Information Search Sources of Information

- Personal sources—family and friends
- Commercial sources—advertising, Internet
- Public sources—mass media, consumer organizations
- Experiential sources—handling, examining, using the product



The Buyer Decision Process

Evaluation of Alternatives

- How the consumer processes information to arrive at brand choices



Saundra's College Decision

Attribute	Beliefs (β)				
	Import. (I)	Smith	Princeton	Rutgers	Northland
Academic reputation	6	8	9	6	3
All women	7	9	3	3	3
Cost	4	2	2	6	9
Proximity to home	3	2	2	6	9
Athletics	1	1	2	5	1
Party atmosphere	2	1	3	7	9
Library facilities	5	7	9	7	2
Attitude Score		163	142	153	131

The Buyer Decision Process

Purchase Decision

- The act by the consumer to buy the most preferred brand
- The purchase decision can be affected by:
 - Attitudes of others
 - Unexpected situational factors

The Buyer Decision Process

Post-Purchase Decision

- The satisfaction or dissatisfaction that the consumer feels about the purchase
- Relationship between:
 - Consumer's expectations
 - Product's perceived performance
- The larger the gap between expectation and performance, the greater the consumer's dissatisfaction
- Cognitive dissonance is the discomfort caused by a post-purchase conflict

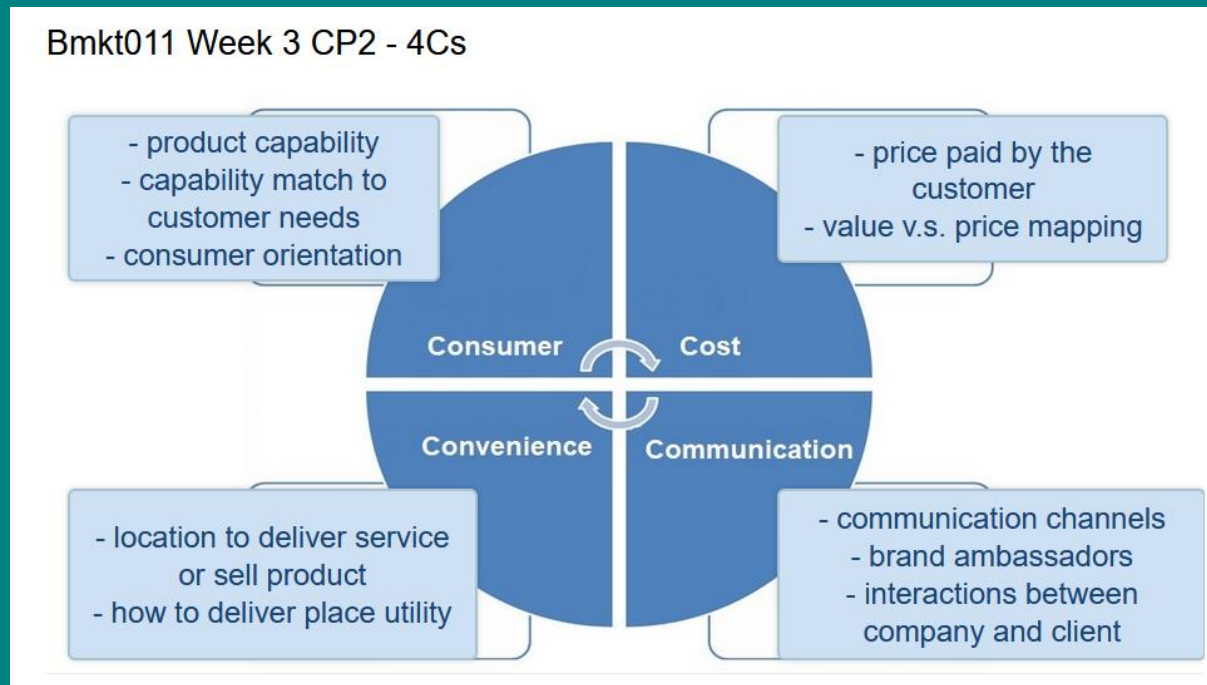
The Buyer Decision Process

Post-Purchase Decision

Customer satisfaction is a key to building profitable relationships with consumers—to keeping and growing consumers and reaping their customer lifetime value

4Cs

The 4 C's of marketing can be highly beneficial to any marketing strategy. This strategy forces marketers to really understand their target audience before they even begin to develop a product or campaign. This strategy requires communication throughout the entire process, from start to finish, and begins with understanding what the customer wants and needs out of your product/services.



Tutorial-A

4C Practice

Application of the 4Cs marketing mix in the digital environment

Jarad Ghayth (2020)

Reading 

This paper is aimed at investigating the 4Cs marketing mix paradigm in the digital context, centering on the 4Cs model and its application in the digital environment.

1. Each group will be assigned a C to research in relation to the Apple AirPods.
 2. With you group, you will be expected to illustrate all components of your assigned C. starting with a definition and explanation of that C.
 3. Be prepared to present your answer to the rest of the class.
 4. Every member is expected to contribute to the presentation.
- Consider the 4Cs marketing example below

Nostalgia Marketing

4C Practice

- <https://www.spiralytics.com/blog/brands-that-used-nostalgia-to-win-at-marketing/>

Tutorial B

Prepare for group assignment

Working on your assignment

Background: In this activity, you and your group members will work collaboratively on creating and developing enriched content and applications of marketing concepts for a successful assignment submission.

Task:

Work with your group and collaboratively;

1. Determine a preliminary target market for your Kickstarter product - *next week you will work on confirming your target market segment(s)*
 2. Circle back to your assigned Kickstarter site and re-examine your product's features
 3. Circle back to your demand determinants from last week to refresh your memory. This will help you with developing point 4.
 4. Determine your consumer problem based on your customer's wants and needs recognition (the first of the 4Cs)
- Share your responses with your class tutor for feedback
 - Go to your Canvas Group Page and create a new discussion titled "CUSTOMER WANTS AND NEEDS".
 - Post / upload this into your Canvas group page > discussions, once you have finalised all edits.

Working on your assignment

Below are instructions to the activity.

Background: In this activity, you and your group members will work collaboratively on creating and developing enriched content and applications of marketing concepts for a successful assignment submission.

Task: Now that we know what influences consumer behaviour, and we are familiar with our Kickstarter products' features, we are ready to communicate value to our customers to influence a positive reaction from them. In the case of your assignment task, the reaction we are looking for is a desire to purchase our product.

Work with your group and collaboratively;

1. Express your CVP in one singular statement/sentence
- Consider the four different strategies to clearly communicate your CVP
 - Consider the five different categories that customers consider important when developing your CVP